Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation
(December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The questions related broadly to the following topics:

(a) Tax administration;
(b) Property tax;
(c) Salaries tax;
(d) Profits tax;
(e) Personal assessment; and
(f) Stamp duty.

The questions covered non-computational questions and computational questions. Candidates' overall performance in this section was average.

Specific Comments

The wide range of topics in the syllabus may be a source of difficulty for candidates. Candidates were especially weak in the following areas:

(a) Tax administration - power of Inland Revenue Department;
(b) Salaries tax - holding over of provisional salaries tax;
(c) Personal assessment - mortgage loan interest deduction under personal assessment; and
(d) Salaries tax - voluntary health insurance scheme deductions.

Candidates were advised that multiple choice questions could cover every part of the syllabus. They should have had adequate coverage and knowledge of all topics in the syllabus when they prepared for the examination. They were also advised to read the questions carefully to avoid making oversight mistakes.

(II) Section B – Written Questions

General Comments

This section consisted of 6 questions and candidates were required to answer all questions. The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that were commonly tackled by the tax professionals in their work. Overall performance in this section was below standard. Candidates demonstrated a basic understanding of computing tax liability under different types of tax. However, candidates performed poorly in essay-type questions. Some of them even did not attempt them. Candidates should improve their analytical and writing skills, otherwise their poor performance on this part of the assessment would greatly affect their overall performance.

Specific Comments

Question 1(a) – 2 Marks

This question required candidates to compute the amount of depreciation allowances of plant and machinery.

This is a simple question and most candidates performed well. However, many candidates wrongly included the cost of the environment-friendly vehicle in the calculation of depreciation allowance under 30% pool.

Question 1(b) – 18 Marks

This question required candidates to compute the profits tax liability of a partnership business. The question could be divided into two parts, one part was preparing the profits tax computation to obtain the assessable profits and the other part was the preparation of profit and loss allocation to obtain the tax liability.

Candidates performed well in the first part. They generally showed a basic knowledge of profits tax computation. Candidates should also note that:

(a) Although the landlord of the office premises was the partner, the rent was deductible subject to the limit of the assessable value.
(b) Salaries to the partner’s son was deductible.
(c) Annual contributions to MPF schemes in respect the partner’s son was deductible, subject to 15% on his remuneration.
(d) Although a partner was the director of Gold Limited, interest paid on loan from Gold Limited was deductible as it fulfilled s16(1)(a) and any condition under s16(2), including the secured loan test and the interest flow-back test.
(e) The cost of the environment-friendly vehicle should be fully deductible.

Performance of the candidates on the second part was not good. Quite a number of candidates did not realize that since the partnership consisted of a corporate partner, preparation of profit and loss allocation was required. Some candidates failed to reallocate the loss of the corporate partner to the other two partners.

Question 1(c)(i) – 3 Marks

This question required candidates to analyse the tax of interest paid to a corporation where a partner was the director.

Performance was poor. Candidates failed to specify the requirements for the deduction of interest payment. Their understanding of the separate legal entity concept was not good, they misunderstood that the partner and the corporation (as the partner was the director) were the same person resulting that the interest was not deductible.

Question 1(c)(ii) – 3 Marks

This question required candidates to analyse the tax treatment of the loan to ex-employee written off.

Performance was poor. Candidates could not explain the reasons why the amount written off was not deductible. They failed to specify the conditions for the deduction of bad debt.

Question 2(a) – 6 Marks

This question required candidates to analyse whether Kate was chargeable to salaries tax for the relevant years of assessment.

Candidates' performance was not good. Kate was an air crew member and whether the income derived from services rendered by an air crew member would be exempt from salaries tax was determined under s.8(2)(j). The 60 days rule was not applicable Candidates failed to mention and analyse the two conditions under s.8(2)(j).

Question 2(b)(i) – 3 Marks

This question required candidates to compute the share option gain chargeable to salaries tax.

Performance was good but some candidates did not know that as Kate was having a Hong Kong employment, no apportionment of the share option gain was required.

Question 2(b)(ii) – 9 Marks

This question required candidates to compute Kate's salaries tax liability.

Overall performance was satisfactory. Candidates generally possessed basic knowledge of salaries tax computation. However, many candidates did not know how to compute the rent suffered for the provision of accommodation. They did not know that no benefit would be included in case the rent suffered was in excess of the rental value.

Question 3(a) – 6 Marks

This question required candidates to describe the requirements of a valid objection against an assessment.

Although this was a common examination question, candidates' performance was not good. They did not present the requirements of a valid objection properly.

Question 3(b) – 1 Mark

This question required candidates to determine the deadline to lodge an objection against the assessment.

Not many candidates were able to specify the deadline correctly.

Question 3(c) – 2 Marks

This question required candidates to list out the recovery actions that could be taken by the Commissioner of Inland Revenue to recover the tax in default.

Performance was poor. It seemed candidates had no idea about the recovery of the tax in default.

Question 4(a) – 3 Marks

This question required candidates to compute the net assessable value of the property attributable to each of the two owners.

Overall performance was good. However, quite a number of candidates had omitted to allocate the net assessable value to each owner as required by the question.

Question 4(b) – 6 Marks

This question required candidates to compute the reduced total income of the couple under personal assessment.

Overall performance was satisfactory. However, candidates should note that:

(a) Dividends and interest income were not taxable;
(b) Loss from a partnership business should be set-off against other income after the deduction of concessionary deductions;
(c) Unused charitable donations could be transferred to the spouse under personal assessment.

Question 5 – 9 Marks

This question required candidates to compute the total amount of deductions in respect of certain expenditure on the buildings. Candidates knew that commercial building allowance should be considered, however, many candidates wrongly included all the expenditure on the two buildings to be qualified under commercial building. They should note that:

(a) Renovation expenditure on office premises should be allowed by 5 equal year of assessment;
(b) Renovation expenditure on the director's quarters should be included as qualifying expenditure under commercial building allowance;
(c) The cost of the environmental protection installations should be wholly allowed instead of included under commercial building allowance or allowed by one-fifth only.

Question 6(a) – 6 Marks

This question required candidates to identify what kind of documents should be stamped in respect of the sale of shares and the amount of stamp duty payable.

Performance was not good. Once the candidates saw that there was immovable property owned by the corporation concerned, they had wrongly applied the AVD of conveyance of property to the sale of shares. They had also omitted to specify the kind of documents that should be stamped.

Question 6(b) – 3 Marks

This question required candidates to identify what kind of documents should be stamped in respect of the leasing of property.

Overall performance was satisfactory. However, candidates had wrongly included the total rent payable under the lease in the calculation of the stamp duty payable instead of the average yearly rent.

(III) Conclusion and Recommendation

Overall, candidates' performance was less than satisfactory. The syllabus of this paper covered Inland Revenue Ordinance and Stamp Duty Ordinance, for which candidates should have been thoroughly prepared. The questions consisted of computational questions and essay-type questions. Marks were mainly obtained from the computational parts. The essay-type questions which required analysis or explanation were poorly answered. Candidates were reluctant to answer them or unable to present the answers property. They did not display a good analytical ability. Candidates were advised not to focus their studies on the computational parts of the syllabus only.